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PUBLIC OF KENYA

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OFFICE OF THE AUDITOR-GENERAL

Enhancing Accountability

REPORT

OF

THE AUDITOR-GENERAL

ON

COUNTY EXECUTIVE OF MACHAKOS

FOR THE YEAR ENDED

30 JUNE, 2024

REPUBLIC OF KENYA

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REPORT OF THE AUDITOR-GENERAL ON COUNTY EXECUTIVE OF MACHAKOS FOR THE YEAR ENDED 30 JUNE, 2024

PREAMBLE

I draw your attention to the contents of my report which is in three parts:

- A. Report on Financial Statements that considers whether the financial statements are fairly presented in accordance with the applicable financial reporting framework, accounting standards and the relevant laws and regulations that have a direct effect on the financial statements;
- B. Report on Lawfulness and Effectiveness in the Use of Public Resources which considers compliance with applicable laws, regulations, policies, gazette notices, circulars, guidelines and manuals and whether public resources are applied in a prudent, efficient, economic, transparent and accountable manner to ensure the Government achieves value for money and that such funds are applied for the intended purpose; and,
- C. Report on Effectiveness of Internal Controls, Risk Management and Governance which considers how the entity has instituted checks and balances to guide internal operations. This responds to the effectiveness of the governance structure, risk management environment and internal controls, developed and implemented by those charged with governance for orderly, efficient and effective operations of the entity.

A Qualified Opinion is issued when the Auditor-General concludes that, except for material misstatements noted, the financial statements are fairly presented in accordance with the applicable financial reporting framework. The Report on Financial Statements should be read together with the Report on Lawfulness and Effectiveness in the Use of Public Resources, and the Report on Effectiveness of Internal Controls, Risk Management and Governance.

The three parts of the report are aimed at addressing the statutory roles and responsibilities of the Auditor-General as provided by Article 229 of the Constitution, the Public Finance Management Act, 2012, and the Public Audit Act, 2015. The three parts of the report when read together constitute the report of the Auditor-General.

REPORT ON THE FINANCIAL STATEMENTS

Qualified Opinion

I have audited the accompanying financial statements of County Executive of Machakos set out on pages 1 to 59, which comprise the statement of assets and liabilities as at 30 June, 2024 and the statement of receipts and payments, statement of cash flows and statement of comparison of budget and actual amounts; recurrent and development combined for the year then ended and a summary of significant accounting policies and other explanatory information in accordance with the provisions of Article 229 of the Constitution of Kenya and Section 35 of the Public Audit Act, 2015. I have obtained all the information and explanations which to the best of my knowledge and belief, were necessary for the purpose of the audit.

In my opinion, except for the effect of the matters described in the Basis for Qualified Opinion section of my report, the financial statements present fairly, in all material respects, the financial position of County Executive of Machakos as at 30 June, 2024 and of its financial performance and its cash flows for the year then ended, in accordance with International Public Sector Accounting Standards (Cash Basis) and comply with the County Governments Act, 2012 and the Public Finance Management Act, 2012.

Basis for Qualified Opinion

1. Inaccuracies in the Financial Statements

The statement of receipts and payments and as disclosed in Note 1 and Note 2 reflects total receipts of Kshs.11,417,314,882 while the statement of comparison of budget and actual amounts (recurrent and development) reflects an amount of Kshs.13,022,775,225 net of opening bank balance resulting to an unexplained variance of Kshs.1,605,460,343.

In the circumstances, the accuracy and completeness of the receipts totalling Kshs.11,417,314,882 as reflected in the financial statements could not be confirmed.

2. Variances Between Financial Statements and IFMIS Payment Details

The statement of receipts and payments and as disclosed in Note 4 reflects use of goods and services amount of Kshs.2,403,653,567. Review of the itemised expenditure items revealed that the amounts were at variance with the Integrated Financial Management Information System (IFMIS) as follows;

ITEM	Financial Statements (Kshs)	IFMIS (Kshs)	Variance (Kshs)
Other Operating Expenses	285,743,496	71,456,788	214,286,708
Domestic Travel and Subsistence	460,056,783	101,489,573	358,567,210

ITEM	Financial Statements (Kshs)	IFMIS (Kshs)	Variance (Kshs)
Foreign Travel and Subsistence	82,755,658	29,975,116.7	52,780,541.10
Printing, Advertising and Information supplies	43,062,783	16,246,421	26,816,362
Hospitality Supplies and Service	184,293,577	24,529,588	159,763,989

Management explained its intention to contact The National Treasury for reconciliation. However, the reconciliation had not been performed as at the time of the audit in November 2024.

In the circumstances, the accuracy and completeness of use of goods and services totalling Kshs.2,403,653,567 could not be confirmed.

3. Other Grants and Transfers

The statement of receipts and payments and as disclosed in Note 7 to the financial statements reflect other grants and transfers of Kshs.1,297,110,941 which includes an amount of Kshs.195,350,986 for fertilizer subsidy programme. However, the amount was deducted at source and utilized in the fertilizer subsidy which was a programme run by the National Government and no actual funds were received in the County Revenue Fund account.

In the circumstances, the accuracy of other grants and transfers of Kshs.1,297,110,941 could not be confirmed.

4. Transfers to Other Government Units

The statement of receipts and payments and as disclosed in Note 6 to the financial statements reflect transfers to other Government units of Kshs.702,941,313 which includes an amount of Kshs.421,241,713 for climate change. However, review of bank statements revealed that the actual amount received in the Climate Change Programme's bank account amounted to Kshs.298,237,417 resulting to an unexplained variance of Kshs.123,004,296. Management indicated that the financial statements have been amended to reflect the correct amount. However, no amendment was done to the financial statements.

In the circumstances, the accuracy of transfers to other Government units of Kshs.702,941,313 could not be confirmed.

5. Unsupported Expenditure

5.1 Use of Goods and Services

The statement of receipts and payments and as disclosed in Note 4 to the financial statements reflects Kshs.2,403,653,567 under use of goods and services. Included in the expenditure is an amount of Kshs.117,301,735 whose payment vouchers were not provided for audit review.

In the circumstances, the accuracy of use of goods and service amount of Kshs.2,403,653,567 could not be confirmed.

5.2 Acquisition of Assets

The statement of receipts and payments and as disclosed in Note 9 to the financial statements reflects acquisition of assets amount of Kshs.1,253,669,118. Included in the expenditure is an amount of Kshs.84,586,506 for purchase of certified seeds, breeding stock and live animals. However, payments amounting to Kshs.54,936,968 were not supported.

In the circumstances, the accuracy of the expenditure totalling Kshs.54,936,968 could not be confirmed.

5.3 Legal Expenses

Review of prior year financial statements revealed that pending bills for legal fees of Kshs.807,862,095 while the current financial statements reflect an opening balance of Kshs.828,387,093, resulting to an unreconciled variance of Kshs.20,524,998. In addition, Kshs.38,807,957 was paid to four (4) firms as part of the prior year pending bill and current year payables. However, the relevant case files were not provided for audit review.

In the circumstances, the accuracy and propriety of legal fees totalling Kshs.828,387,093 could not be confirmed.

The audit was conducted in accordance with International Standards for Supreme Audit Institutions (ISSAIs). I am independent of the County Executive of Machakos Management in accordance with ISSAI 130 on the Code of Ethics. I have fulfilled other ethical responsibilities in accordance with the ISSAI and in accordance with other ethical requirements applicable to performing audits of financial statements in Kenya. I believe that the audit evidence I have obtained is sufficient and appropriate to provide a basis for my qualified opinion.

Emphasis of Matter

1. Budget Control and Performance

The statement of comparison of budget and actual amounts reflects final receipts budget and actual on comparable basis of Kshs.15,808,454,221 and Kshs.13,278,940,564

respectively resulting in an under-funding of Kshs.2,529,513,657 or 16% of the budget. Similarly, the County spent an amount of Kshs.11,631,124,769 against actual receipts of Kshs.13,278,940,564 resulting in an under-utilization of Kshs.1,647,815,795 or 12 % of the actual receipts.

The under-funding and under-utilization may affect the planned activities and may impact negatively on service delivery to the public.

2. Pending Bills

Annex 2- Analysis of pending accounts payables, Annex 3- Analysis of pending staff payables and Annex 4- Analysis of other pending payables, to the financial statements disclose pending bills of Kshs.4,516,781,861, Kshs.855,416,201 and Kshs.167,965,221 respectively, all totalling Kshs.5,540,163,283 as at 30 June, 2024. Although Management indicated that the bills were not settled due to non-release of exchequer allocation, no evidence was provided to confirm that the pending bills formed first charge in the subsequent year.

Failure to settle bills during the year to which they relate distorts the financial statements and adversely affects the budgetary provisions for the subsequent year as they form the first charge.

My opinion is unmodified in respect of these matters.

Key Audit Matters

Key audit matters are those matters that, in my professional judgement, are of most significance in the audit of the financial statements. Except for the matters described in the Basis for Qualified Opinion section, I have determined that there are no other key audit matters to communicate in my report.

Other Matter

Unresolved Prior Year Matters

In the audit report of the previous year, several issues were raised under the Report on Financial Statements, Report on Lawfulness and Effectiveness in Use of Public Resources, and Report on Effectiveness in Internal Controls, Risk Management and Governance. Although, Management indicated that they were waiting for the Senate recommendations, no evidence was provided on progress taken to resolve the issues.

Other Information

Management is responsible for the other information set out on pages vi to xliii which comprise key entity information and management, Governance statement, Foreword by the CECM Finance and Economic planning, statement of performance against County

Predetermined objectives, Environmental and sustainability reporting and statement of management responsibilities. The other information does not include the financial statements and my audit report thereon.

In connection with my audit on the County Executive's financial statements, my responsibility is to read the other information and in doing so, consider whether the other information is materially inconsistent with the financial statements or my knowledge obtained in the audit or otherwise appears to be materially misstated. If based on the work I have performed, I conclude that there is a material misstatement of this other information, I am required to report that fact. I have nothing to report in this regard.

REPORT ON LAWFULNESS AND EFFECTIVENESS IN THE USE OF PUBLIC RESOURCES

Conclusion

As required by Article 229(6) of the Constitution, based on the audit procedures performed, except for the effect of the matters described in the Basis for Conclusion on Lawfulness and Effectiveness in the Use of Public Resources section of my report, I confirm that nothing else has come to my attention to cause me to believe that public resources have not been applied lawfully and in an effective way.

Basis for Conclusion

1. Non-Compliance with Law on Ethnicity and People with Disabilities Distribution

Records provided for audit review including the payroll indicated that during the year under review, the County Executive had a total of six thousand five hundred and thirty-five (6,535) employees out of whom five thousand five hundred and nine (5,509) or 84% were from the dominant community in the County. This is contrary to Section 65 (1) (e) of the County Governments Act, 2012 which provides that in selecting candidates for appointment, the County Public Service Board shall consider that at least thirty (30) percent of the vacant posts are not from the dominant ethnic community in the County.

In addition, there were 61 employees or approximately 1% of the employees who are living with disabilities contrary to Paragraph 2.2.2(i) of Public Service Commission Diversity Policy 2016 which states that every public service institution shall adopt measures aimed at facilitating the realization of the constitutional principles of ensuring an inclusive public service and that at least five per cent (5%) of appointments in the public sector shall comprise of persons with disabilities. Although Management explained that in future there will be a wide circulation of advertisement and effort to conform to the recruitment and appointments threshold on ethnicity and people living with disability, no documented measures were provided for audit review.

In the circumstances, Management was in breach of the law.

2. Lack of an Approved Staff Establishment

The statement of receipts and payments reflects compensation of employees amount of Kshs.5,959,269,939. The County Executive had a total of six thousand five hundred and thirty-five (6,535) employees. However, the County Executive through the County Public Service Board did not have an approved staff establishment for the whole County Executive and for each Department detailing hierarchy of authority and responsibilities. Although Management explained that it is in the process of developing a staff establishment, no reason was provided as to why the staff establishment was not prioritised.

In the circumstances, optimal staffing levels, appropriate systems and skills development could not be confirmed.

3. Non - Compliance with the Law on Fiscal Responsibility on Wage Bill

The County Executive compensation of employees totalling Kshs.5,959,269,939 represent approximately fifty-two (52%) of the total receipts of Kshs.11,417,314,882. This was contrary Section 25(1)(b) of the Public Finance Management (County Governments) Regulations, 2015 which requires the limit on the County Governments expenditure on wages and benefits for its public officers not to exceed 35% of the County Government's total revenue.

In the circumstances, Management was in breach of the law.

4. Non -Compliance with One-Third of Basic Salary Rule

During the year ended 30 June, 2024, twenty (20) employees earned a net salary of less than a third of their basic salary. Although Management explained that it was due to introduction of Housing Levy and new National Social Security Fund (NSSF) tax rates, this was contrary to Section C.1 (3) of the Human Resource Policies and Procedures Manual for the Public Service, 2016 which states that public officers shall not over-commit their salaries beyond two thirds ($\frac{2}{3}$) of their basic salaries and Heads of Human Resource Units should ensure compliance. Further, it was contrary to Section 19(3) of the Employment Act, 2007 which states that all deductions made by an employer from the wages or salaries of his employees at any one time shall not exceed two thirds ($\frac{2}{3}$) of such wages or salaries.

In the circumstances, Management was in breach of the law.

5. Payment of Salaries Outside the Integrated Payroll and Personnel Database (IPPD)

The statement of receipts and payments and as disclosed in Note 3 to the financial statements reflects an amount of Kshs.5,959,269,939 under compensation of employees. Included in the payment is an amount of Kshs.487,009,214 for salaries which was paid outside the IPPD system in the month of June 2024. In addition, review of the June 2024

monthly payroll data, revealed that two employees were sharing the same bank account number. This is contrary to Section 1.5.1 of The National Treasury Financial Accounting Recording and Reporting Manual which provides that personnel emoluments of County Governments staff should be paid through IPPD. Although Management indicated that relevant data for new employees will be secured for payroll processing before salary payment in future, no reason was provided for non-compliance.

In the circumstances, Management was in breach of the law.

6. Outstanding Medical Insurance Cover

During the year under audit review, an amount of Kshs.245,000,000 was paid for medical insurance cover. However, as at 30 June, 2024, the County Executive of Machakos had an outstanding amount of Kshs.45,883,520 owing to the insurance company. This is in contravention of the Clause 2.6 of the contract agreement dated 19 October, 2023 which states that payment shall be made to the insurer immediately upon execution of the agreement. Although Management explained that there was no pending premium payments, the total premium had not been settled on execution of the agreement as required.

In the circumstances, Management was in breach of the insurance cover pre-conditions subjecting staff to medical risk.

7. Recruitment of Staff

The statement of receipts and payments and as disclosed in Note 3 to the financial statements reflects an amount of Kshs.5,959,269,939 as compensation of employees. During the year under review, Machakos County Public Service Board recruited and appointed five hundred and thirty (530) officers. However, the need assessment to fill the vacant positions, individual panelist score sheet for all interviewed candidates, the merit list and the Board minutes on the appointment of successful candidates were not provided for audit review.

In the circumstances, the value for money for the expenditure of Kshs.5,959,269,939 on compensation of employees could not be confirmed.

8. Procurement

8.1 Proposed Phased Completion of Kaewa Dispensary

Physical verification of the contract for the proposed phased completion of Kaewa Dispensary (Upper Kaewa Ward) at a cost of Kshs.2,834,808 revealed that, there was no electricity hence service providers could not perform immunizations and other medical services that require electricity. Further, there was no running water despite installation of a 10,000-litre water tank. In addition, there were security issues as the fluorescent tubes, wooden doors and sink pipes had been vandalized.

8.2 Construction of Kathiani Livestock Market Sell Yard

The contract was awarded at a cost of Kshs.4,999,992 for the construction of Kathiani Livestock Market Sell Yard. However, review of the documents revealed the following issues;

- i. The winning bidder lacked requisite documents such as the company profile, compliance documents and technical documents.
- ii. The opening minutes indicated that three companies submitted their quotations of Kshs.5,168,287, Kshs.4,999,992 and Kshs.5,034,655. However, the request for quotation forms provided for audit review revealed that only two (2) bidders submitted their quotations.
- iii. Preliminary mandatory requirement number six (6) required each page of the document to be serialized. However, none of the request for quotation forms was serialized including that of the winning bidder.
- iv. Evaluation report provided for audit review was for the construction of Kithyoko livestock market sell yard instead of Kathiani livestock market sell yard.
- v. Management did not provide an acceptance letter, a due diligence report, an inspection and acceptance report and professional opinion for audit review. In addition, the contract provided for audit review had not been signed.

8.3 Non-Functional Solar and Battery Backup Projects

The Department of Energy entered into two projects for Kathiani Level 4 Hospital at a total cost of Kshs.13,569,996. The first project was for the supply and installation of battery backup for Kshs.5,906,546 while the second project was for the supply and testing of solar plant for Kshs.7,663,449. However, physical verification of the projects revealed that the solar plant and battery backup system were not functional. In addition, the bid price for the supply and installation of battery backup quoted in the GOK IFMIS evaluation matrix of Kshs.5,900,000 differ with the opening minutes of Kshs.6,100,000 resulting to unexplained variance of Kshs.200,000.

8.4 Proposed Construction of Kathalani- Kaviani Nzaikoni Roads

The contract for this project was awarded on 6 February 2024 at amount to contract sum of Kshs.154,580,347 with a completion period of twenty four (24) months from the date of signing of the contract. The budget for this project during the year under review was Kshs.50,000,000 and the bill of quantities included a sum of Kshs.1,000,000 for engineer's site visit and overtime allowance. One of the mandatory procurement criteria was to have all bid documents serialized, initialized and stamped. However, one of the bidders who had quoted an amount of Kshs.145,286,252 and had all bid documents serialized, initialized and stamped was evaluated as non-responsive during preliminary

evaluation. However, the firm which was awarded the contract did not have all the pages initialized which was a mandatory criterion.

8.5 Upgrading of Kincar Airways-Zebra and Muungano Police Station Road Phase

Review of the contract documents revealed that the contract was signed on 6 February, 2024 at a contract sum of Kshs.84,017,245 with a completion period of 6 months from the date of signing the contract. However, the following issues were noted:

- i. One of the mandatory requirements was for the form of tender to be completed, signed and stamped in the format provided and in a company letterhead. However, the form of tender for the winning firm was not in a company letterhead and was not signed, while bidder No. 3, had quoted an amount of Kshs.61,985,760 which was lower than the bidder who won yet the firm was disqualified on similar issues.
- ii. An amount of Kshs.29,237,955 was paid without a certificate of work done but was based on summary of statements of account submitted by the contractor.
- iii. Review of progress report file revealed that in a letter dated 11 June, 2024, the contractor was using unapproved gravelling materials which was against the instructions which required use of hand packing rocks. The contractor had also disregarded hand packing instructions and was utilizing machines and no report was provided to confirm whether the contractor later conformed with engineer instructions.
- iv. The progress report dated February/March 2024 indicated that there was no site agent, general foreman, site surveyor, environmental officer and occupation health officer. These were key experts who were required as per the tender evaluation requirements. It appears that the project was being implemented without the input from technical staff which might have impacted on the quality of work.
- v. The test certificates were to be given to the engineer at the start of the project vide a letter dated 4 April 2024. This was not done until 11 July, 2024, when the contract was coming to an end. The quality of materials used in the project were not verified during the contract implementation.
- vi. Physical verification revealed that the road had developed potholes which require urgent repairs putting in doubt the quality of work done by the contractor.

8.6 Routine Maintenance of Kathaianioni- Kwa Kavatha-Muli Kaese Road

Review of documents revealed that the contract was awarded on 19 March, 2024 at a contract sum of Kshs.4,896,464 with a contract duration of three (3) months. However, the firm did not attach beneficial ownership disclosure form which was a mandatory requirement. In addition, the firm did not provide a three months bank statements within the last two years and key personnel certificate with 2 years' experience as was required when bidding.

8.7 Consultancy Services for Development of Spatial Plan 2023/2024

The contract was signed on 2 February, 2024 at a contract price of Kshs.207,711,166. However, the work plan prepared by the department indicated an amount of Kshs.209,263,840 as the budget which included the cost of various stakeholders including technical working group, project team and CECM. However, it was not possible to determine how the amount quoted by the consultant was arrived at and whether the consultant was to be paid for work done by other stakeholders. In addition, an amount of Kshs.41,459,880 was paid to the contractor without deducting VAT and no explanation was provided on the basis for determining the amount to be paid.

8.8 Consultancy Services for Development of Land use Plan for Machakos Municipality

Review of procurement documents revealed that, the contract was signed on 4 January 2024 at a contact price of Kshs.3,938,200 for a contract duration of seven (7) weeks. The payment schedule indicated that 60% was to be paid on submission of draft one and the balance of 40% on submission and approval of final draft by the Board. However, the full amount of Kshs.3, 938,200 was paid before the draft was approved by the Board.

8.9 Stalled Projects

Review of various projects commenced in the County revealed that fifty-four (54 projects) awarded at a contract price of Kshs.1,132,065,268 had stalled at various stages of completion. This was after the County had incurred a total cost of Kshs.314, 262,161 which was paid to various contractors. Further the work in progress was not reported in fixed assets register.

8.10 Procurement of Integrated Health Management System

Review of pending bills revealed a prior year pending bill of Kshs.44, 885,921. This was the tendered sum for phase one (1) of a project that was to be executed in three phases. However, the confirmation reports from various level 3 and 2 hospitals covered under phase two (2) indicated that some service points were not covered, yet the full contract price of Kshs.78,530,148 was invoiced and paid. Further, it was not clear whether the County acquired the full ownership rights of the software including the source code.

In the circumstances, value for money for these projects could not be confirmed.

REPORT ON EFFECTIVENESS OF INTERNAL CONTROLS, RISK MANAGEMENT AND GOVERNANCE

Conclusion

As required by Section 7(1)(a) of the Public Audit Act, 2015, based on the audit procedures performed, except for the effect of the matters described in the Basis for Conclusion on Effectiveness of Internal Controls, Risk Management and Governance

section of my report, I confirm that nothing else has come to my attention to cause me to believe that internal controls, risk management and governance were not effective.

Basis for Conclusion

1. Lack of an Audit Committee

The County Executive did not have a functional Audit Committee as required by Regulation 167(1) and (4) of the Public Finance Management (County Governments) Regulations, 2015.

In the circumstances, the effectiveness of internal controls and governance of the County Executive could not be confirmed.

2. Staff in the Payroll without Activity in the Department of Health

Review of staff payroll revealed that a total of 67 clinical officers and 61 medical doctors were in the payroll. However, review of the doctor analysis report generated from Integrated Health Management system indicated no activity undertaken by them from September, 2023 when Level 4 and 5 hospitals were digitized and from February/ March when all Level 3 and 4 were digitized.

In the circumstances, it was not possible to establish whether the officers offered any service to Machakos residents during the period under review.

Responsibilities of Management and those Charged with Governance

Management is responsible for the preparation and fair presentation of these financial statements in accordance with International Public Sector Accounting Standards (Cash Basis and for maintaining effective internal controls as Management determines is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error and for its assessment of the effectiveness of internal controls, risk management and governance.

In preparing the financial statements, Management is responsible for assessing the County's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless Management is aware of the intention to cease operations.

Management is also responsible for the submission of the financial statements to the Auditor-General in accordance with the provisions of Section 47 of the Public Audit Act, 2015.

In addition to the responsibility for the preparation and presentation of the financial statements described above, Management is also responsible for ensuring that the activities, financial transactions and information reflected in the financial statements comply with the authorities which govern them and that public resources are applied in an effective way.

Management is responsible for overseeing the financial reporting process, reviewing the effectiveness of how Management monitors compliance with relevant legislative and regulatory requirements, ensuring that effective processes and systems are in place to address key roles and responsibilities in relation to governance and risk management, and ensuring the adequacy and effectiveness of the control environment.

Auditor-General's Responsibilities for the Audit

My responsibility is to conduct an audit of the financial statements in accordance with Article 229(4) of the Constitution, Section 35 of the Public Audit Act, 2015 and the International Standards for Supreme Audit Institutions (ISSAIs). The standards require that, in conducting the audit, I obtain reasonable assurance about whether the financial statements as a whole are free from material misstatements, whether due to fraud or error and to issue an auditor's report that includes my opinion in accordance with Section 48 of the Public Audit Act, 2015. Reasonable assurance is a high level of assurance but is not a guarantee that an audit conducted in accordance with ISSAIs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

In conducting the audit, Article 229(6) of the Constitution also requires that I express a conclusion on whether or not in all material respects, the activities, financial transactions and information reflected in the financial statements are in compliance with the authorities that govern them and that public resources are applied in an effective way. In addition, I consider the entity's control environment in order to give an assurance on the effectiveness of internal controls, risk management and governance processes and systems in accordance with the provisions of Section 7 (1) (a) of the Public Audit Act, 2015.

Further, I am required to submit the audit report in accordance with Article 229(7) of the Constitution.

Detailed description of my responsibilities for the audit is located at the Office of the Auditor-General's website at: <https://www.oagkenya.go.ke/auditor-generals-responsibilities-for-audit/>. This description forms part of my auditor's report.


FCPA Nancy Gathungu, CBS
AUDITOR-GENERAL

Nairobi

24 December, 2024